

some have created more enduring business moats than others, book value is a more relevant metric for financial institutions than for most other businesses if (and this is a big if) the assets on the balance sheet of those firms are worth at least their reported carrying value.

### **THE MOST USEFUL ASPECTS OF BALANCE SHEET ANALYSIS**

While book value has become considerably less relevant than in the past, nonetheless balance sheet analysis remains a highly valuable and necessary practice for all investors. A company's balance sheet can be an indicator of its financial health and even prosperity. Companies with limited debt are said to have a "clean" balance sheet and usually significant borrowing capacity in reserve, which confers operating and strategic flexibility. On the other hand, a highly leveraged balance sheet offers less flexibility, while raising the prospect of looming debt maturities that must be met. A heavily indebted company runs into trouble quickly when the economy turns down and its operating performance stumbles. That may launch a spiral in which maturing debt must be refinanced at increasingly higher cost, causing interest expense to gobble up a growing portion of corporate cash flow.

Balance sheet analysis will always be a useful tool to an investor in financially distressed or bankrupt companies. It remains an essential element in understanding the hierarchy of claims on the company's assets and determining the value of a business. Equity investors bear the risk that a downturn in business results could drive the need for dilutive share issuance at discounted prices.

Corporate managements regularly seek to optimize their balance sheets. Holding too much cash and other liquid assets lowers the return on invested capital. On the other hand, holding insufficient liquidity could cause a business to be vulnerable to sudden economic